Introduction to Social and Solidarity Economy

Chapter 1 - A bird's eye view of SSE

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Your suggestions of SSE cases in Cambodia (or elsewhere)

Cases	Sectors or activities	Organization statutes or types

How / why is it different from ordinary business?
→ Who is it for? What is produced? What rules? Location? Etc.

Plan of the chapter

1. First insights into SSE
2. Worldwide extension and recognition

1. First insights into SSE

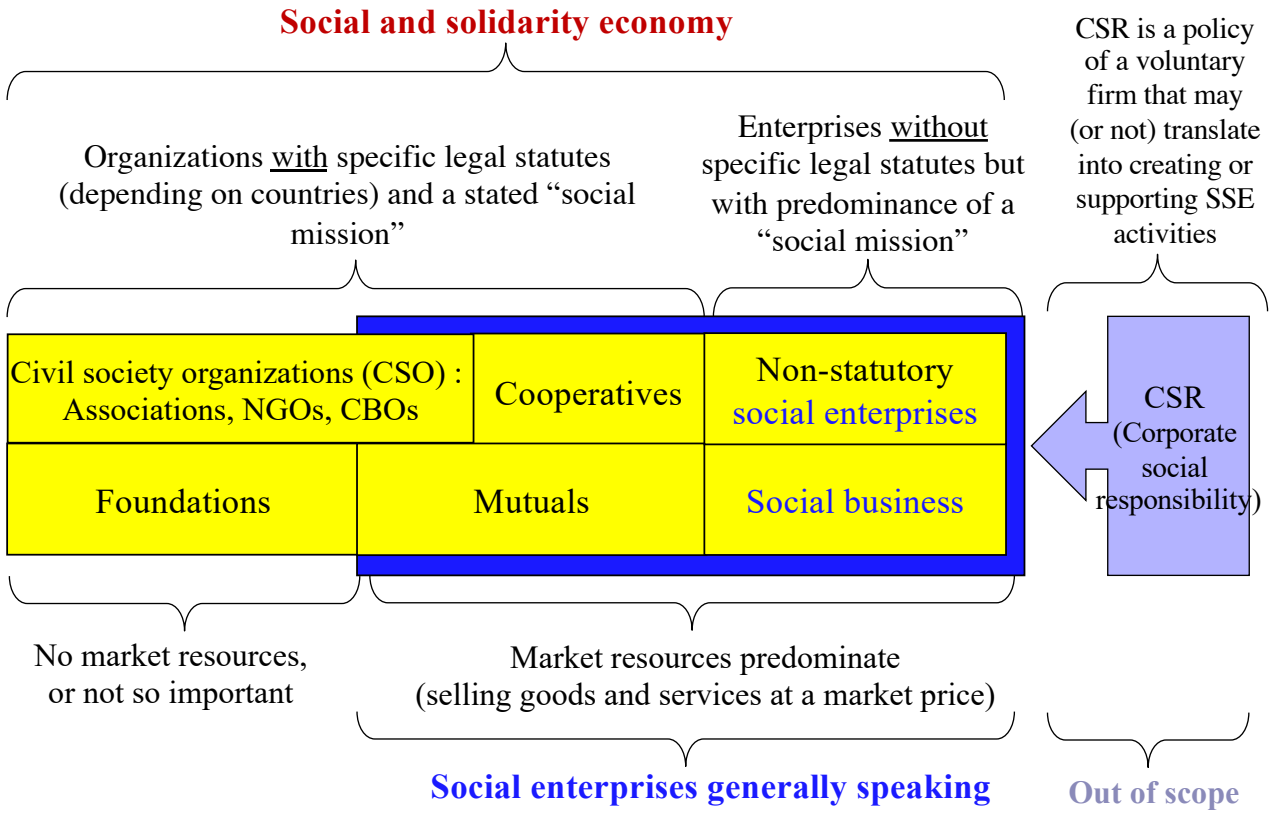
- How to define SSE?
  - SSE = **Economic activities** that contribute to **empowering** people through specific principles that concern **solidarity**, **profit** and **governance**
  - **Economic activities**: producing, exchanging, renting, funding, giving, providing… Not necessarily with a market price
  - **Empowering**: the activity generates more "power" or "capacities" to people
  - **Solidarity**: the activity is not entirely driven by self-interest but by community well-being, altruism etc.
  - **Governance**: governance rights are not restricted to capital ownership: the governance is participatory, if not democratic
  - **Profit** is of secondary purpose, if any:
    other missions come first (let's call them "social missions")

1. First insights into SSE

- SSE is then another kind of entrepreneurship:
  - doing the same things as others, but *differently* (e.g. producing rice, organic and fair trade)
  - or doing *other* things (e.g. caring street children)
- What forms of organizations does take SSE?
  - SSE ≠
    - ≠ Private profit-oriented firms
    - ≠ Public firms and government administration
  - SSE includes:
    - Organizations with specific legal statutes (depending on countries): mainly:
      Cooperatives, **M**utual societies,
      Civil society organizations (=**A**ssociations), **F**oundations
    - Other organizations, known as "social enterprises" or "social business"

- Complementary information on the cases listed by students:
  - What is their legal statute?
  - Do they sell something (market resources)?
  - Who benefit from the activity? (are they members?)
  - Are there solidarity principles somewhere?

- Which kind of organizations?



1. First insights into SSE

- Types of SSE organizations, featuring who benefit from their activity:

Orientation of the activity	Public benefit organizations	Mutual benefit organizations	Other SSE, when individual profit or capital accumulation is secondary
Types of organizations	Civil society organizations (CSO) : Associations, NGOs, CBOs	Cooperatives	Non-Statutory Social enterprises
	Foundations	Mutuals	Social business
Beneficiaries	External stakeholders, not insiders	By and for insiders (members) → double quality	It depends: targeting employees, customers, providers…
Solidarity-responsibility	Charity, philanthropy, external empowerment	Reciprocity (between members)	Social mission always beyond profit

Cases	Number	Comments, examples
(mostly) Mutual-benefit organizations		
Community-based organisations	>> 400 *(2012)*	Management groups in fisheries, forestry, protected areas, coastal areas, water use etc. Sometimes ecotourism…
Associations	2623 *(end 2022)*	Registration requirement to the Ministry of Interior *Include:* professional associations (Associations of rice producers, of khmer writers…)
Mutuals and co-operatives	/	Credit cooperatives, farming cooperatives No cases as to mutuals?
(mostly) Public-benefit organizations		
Local NGOs (non-governmental organizations)	3486 *(end 2022)*	Of which <50% are active (2012) Registration requirement to the Ministry of Interior E.g. Equitable Cambodia
International NGOs	508 *(2012)*	Of which more than 90% are active (2012). Registration requirement to the Ministry of Foreign affairs and international cooperation E.g. WWF
Others		
Social enterprises/social business	??	Sometimes linked to NGOs, sometimes classical for-profit firms E.g. Digital Divide Data (DDD)

2. Worldwide extension and recognition

- Origins in SSE worldwide:
  - **Traditional** self-help, reciprocal and community relations, which modernized through the creation of formal organizations
  - **New needs** generated by industrialization, in the context of rising poverty within richer societies and weakening traditional solidarities (→ Europe, 19th Century)
  - It started being integrated into **legal systems** from the end of 19th Century onwards
  - It nevertheless notably supported **critical visions** of the existing society, envisioning changes through new and specific economic activities (rather than through politics)
  - It also developed by innovating and accompanying new **social protection systems**, on health, retirement, unemployment, family care etc.
  - Now 8% employment average in Northern countries (from 2 to 16%, depending on countries), 8% of European firms, 16 Mn European employed …

2. Worldwide extension and recognition

- Important cases of SSE in developing and emerging countries:
  - Farming cooperatives
  - Microfinance institutions and credit unions
  - Fair trade organizations (trade with price and social conditions that favor producers)
  - Employment for the disadvantaged
  - Care of the disadvantaged
  - Self-help of local communities
  - Search of alternative economic forms (alternative to the typical hierarchical for-profit firm), more society-oriented, more sustainable…
  - …

2. Worldwide extension and recognition

- ILO (International Labour Organization) : Statement 2022 which gives a broad definition of SSE:

« Central to the definition of SSE are organizations and enterprises "which have the specific feature of producing goods, services and knowledge while pursuing both economic and social aims and fostering solidarity."

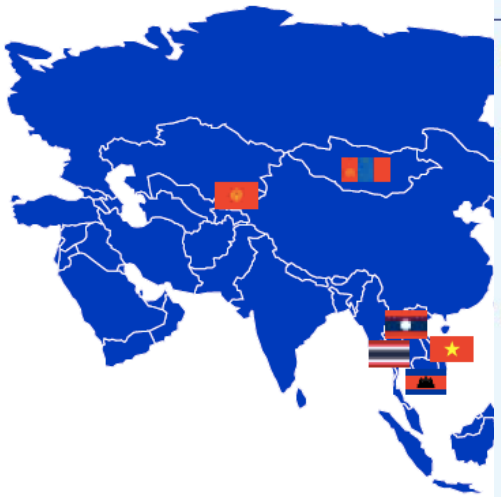
Such entities typically include cooperatives, mutual benefit societies, self-help groups, social enterprises, associations, foundations and other non-governmental organizations (NGOs).

Beyond combining economic and social objectives, SSE is often promoted as a means to transform market and power relations that reproduce poverty, inequality and environmental degradation.

This, in turn, requires organizations that not only have a social mission but also practise participatory or democratic forms of governance and engage in collective action and active citizenship. »

2. Worldwide extension and recognition

- ILO's project of studying SSE in Asia (2022 onwards)



Research	Capacity-building
▶ Refine the analytical research framework	▶ Design and implement SSE capacity-building activities
▶ Carry out five country studies on mapping the SSE landscape	▶ Establish a regional community of practice of SSE
▶ Elaborate a normative model on the SSE which can be identified across all eleven countries	▶ Implement national follow-up activities to facilitate the co-creation of SSE policies

2. Worldwide extension and recognition

- UN (United Nations) General assembly in 2023 : the Resolution A/77/L.60 "Promoting the Social and Solidarity Economy for Sustainable Development" :
  - Official Definition of SSE by the UN, after the ILO
  - SSE is said to contribute to the achievement at the local levels of the SDGs (Sustainable Development Goals)

2. Worldwide extension and recognition

Examples of SSE contributions ?

- SDGs and SSE:

Appendix –

A few websites

Websites: international level, general

One general website:

- Socioeco: http://socioeco.org/index_en.html
- On Cambodia (but old): http://www.socioeco.org/bdf_motcle-geo-46_en.html

International Organizations that support SSE:

- International Labour Office (ILO): http://www.ilo.org/
- RIPESS (Intercontinental Network for the Promotion of the Social Solidarity Economy): http://www.ripess.org/?lang=en
- United Nations Research Institute for Social Development (UNRISD): http://www.unrisd.org/
- United Nations Development Program (UNDP): www.undp.org

Asian SSE organisations:

- RIPESS Asia Sdn Bhd (created 2016): the formal organization of SSE advocates and practitioners in Asia: http://www.ripess.org/continental-networks/asia/?lang=en
  - → including Homenet Cambodia, Cambodia Home-based workers association (CHWA) - https://www.homenetinternational.org/homenet-cambodia/

Websites: international level, specific

Cooperatives:

- International Cooperative Alliance (ICA): www.ica.coop

Fair Trade:

- Fair Trade Labelling Organization (FLO): www.fairtrade.net
- World Fair Trade Organization: www.wfto.com
  - WFTO Asia: http://wfto-asia.com/
- Oxfam: http://www.oxfam.org/en/

Foundations:

- Asia Foundation: www.asiafoundation.org

Microfinance:

- WOCCU (World Council of Credit Unions): www.woccu.org
- Grameen Bank: http://www.grameen-info.org/

Mutuals:

- International Cooperative and Mutual Insurance Federation (ICMIF): www.icmif.org

Websites: Cambodia

Organization	Content	Website
Cooperation committee for Cambodia	NGO networks	https://www.ccc-cambodia.org/en/ngodb/ngo-information
Cambodia Microfinance Association	Microfinance network	http://cma-network.org/
DDD (Digital Divide Data)	Digital services with young deprived workforce	www.digitaldividedata.com
GERES Cambodia	Energy issues	https://www.geres.eu/en/our-actions/countries-of-intervention/cambodia/
PSE - Pour un sourire d'enfant	Children help, education and training	https://www.pse.ngo
Mith Samlanh (Friends International)	Children help, education and training	http://mithsamlanh.org/
Equitable Cambodia	Human rights	https://equitablecambodia.org/website/
AMRU Rice Company	Promotion of organic rice from small farmers and cooperatives	https://www.inclusivebusiness.net/ib-voices/amru-rice-telling-story-inclusion-cambodian-rice-farmers www.amrurice.com.kh/
Cambodia Home-based workers association (CHWA)	Promotion and support to home-based handicraft workers	https://www.homenetinternational.org/homenet-cambodia/